

External Sector: BoP, Currency & Trade

Current/capital accounts, forex reserves, rupee and trade policy basics.

Portion focus ~40% · Topic: econ-schemes

PYQ themes: Balance of payments · Exchange rate · Trade

Why UPSC asks this

External vulnerability themes + CA linking (oil, FPI) appear steadily.

BoP structure

Trade balance, invisibles, remittances; capital flows (FDI/FPI/ECB). Forex reserves roles.

Trade & policy

WTO basics, FTAs at headline, export competitiveness — link to schemes/PLI when CA-relevant.

Must remember

- Current account vs capital account
- CAD financing via capital inflows
- NEER/REER awareness

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